

Source 1 — The study, and what actually happened

*Anchoring bias in auditor judgment. Yasir A. Malik, Florida International University.

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1. The question

When an auditor returns to the same client year after year, last year's number is sitting there before this year's work begins. Anchoring-and-adjustment predicts that the prior figure exerts pull on the current judgment, and that adjustment away from it is insufficient. The study asks which organisational practices actually disrupt that pull.

Dual-process theory supplies the mechanism. System 1 accepts the anchor as a starting point; System 2 adjusts, but adjustment is effortful and stops early. Interventions work, if they work at all, by forcing the reviewer out of the accept-and-adjust pattern.

2. The model — eleven constructs

Eight interventions, each a practice a firm can actually implement:

Construct	What it is
Training and Awareness (TA)	Explicit instruction in cognitive bias
Rotation of Auditors (RA)	Changing who performs the recurring engagement
Analytical Tools (AT)	Data analytics and automated procedures
Structured Audit Processes (SAP)	Standardised programmes and checklists
Feedback and Reflection (FR)	Structured post-engagement review
Independent Review (IR)	Second-partner or peer challenge
Regulatory Guidance (RPG)	External standards and inspection pressure
Performance Incentives (PMI)	How reward structures shape effort

Two mediators — the mechanisms through which interventions act:

- **Audit Judgment Quality (AJQ)** — the soundness of the auditor's judgment itself
- **Audit Process Rigour (APR)** — the discipline of the procedure surrounding that judgment

One outcome:

- **Reduced Anchoring Behaviour (RAB)** — judgments driven by current evidence rather than the prior-period figure

Fifty-five Likert items, five per construct, one reverse-coded in each block. Sixteen hypotheses.

3. Method as designed

Cross-sectional survey. Planned analysis, in order: exploratory factor analysis (principal axis

factoring, direct oblimin rotation) → Cronbach's alpha for each construct → confirmatory factor analysis against CFI/TLI $\geq .90$, RMSEA $\leq .08$, SRMR $\leq .08$ → regression with multicollinearity and influence diagnostics → structural modelling with outer loadings $\geq .708$ and HTMT $< .85$.

Target: 100 usable responses, set against factor-analytic sample-size guidance for a model of fifty-five observed variables. IRB-approved (IRB-25-0462).

Three eligibility screeners: United States residence; a current or recent audit role; experience with continuing multi-period engagements.

4. What happened

The study was fielded through two commercial panels in mid-2026 with a funded allocation for one hundred completions. Twenty-three responses were recorded. **Four survived screening.**

The decisive datum came from the platform itself, displayed on the configuration screen once the screeners were entered:

Eligible participants: 20 of 334,976.

Roughly **six eligible people per hundred thousand panel members**. 0.006%.

5. Why this is a finding rather than a failure

The two explanations a reader reaches for first are both ruled out by the data.

Not the incentive. Compensation ran at an effective ~\$28/hour, well above typical academic-survey rates. More decisively, incentive and eligibility are independent quantities: payment affects whether an *eligible* person accepts a study; it has no effect on whether anyone is eligible. The diagnostic signature of an incentive problem is a large pool with low take-up. This study showed the inverse — a minute pool with high take-up.

Not the instrument. Zero attention-check failures among complete, eligible respondents. The platform's response-quality index scored the data at 95%. Every usable respondent wrote a substantive, domain-fluent open-text account of anchoring in their own work. Most non-completions terminated *early* — the signature of screen-out, not fatigue.

It was arithmetic. A target of 100 required at least 100 eligible people. Twenty existed. The four obtained represent roughly a **twenty per cent conversion of the entire eligible universe** — respectable recruitment performance against an impossible denominator.

Waiting could not have fixed it: extended fielding addresses slow accrual, not exhausted eligibility. Price could not have fixed it: doubling payment against twenty people cannot yield more than twenty.

6. The criteria were individually reasonable and jointly annihilating

Each screener followed from the construct. Anchoring in recurring engagements is not measurable in someone who has never conducted one — the prior-period anchor does not exist for a first engagement. But criteria are justified one at a time during instrument design, so their multiplicative effect on prevalence is invisible. **That is the transferable lesson, and it is the thing most likely to be asked about.**

7. Outcome

The qualifying examination passed on 26 July 2026. The faculty assessment singled out the handling of this failure:

"Rather than simply acknowledging the limitation, you developed well-supported recommendations for future research... This type of critical self-evaluation demonstrates sound research judgment."

The study is reported as a **feasibility study**, not a validated one. The measurement model, instrument, and analytic protocol survive intact for the next stage.

8. What is NOT claimed

- The model is **not validated**. No factor structure was confirmed. No hypothesis was tested.
- Four responses support **no** quantitative inference of any kind.
- The prevalence figure is platform-reported and may rest on self-reported profile data. If that biases it, it biases it *upward* — some of the twenty might not have qualified on examination — which strengthens the argument rather than weakening it.
- One case on two platforms at one point in time establishes that **this** population was unreachable. It does not establish a general prevalence for professional populations.